# The insolvency and bankruptcy regulator

Finance Research Group, IGIDR

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# Building a credible insolvency regime

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    3. Predictability
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- A fourth element: malleability.

# Why such gaps may arise?

- Law-in-practice = Law-as-enacted + Incentives of parties + Cases decided by judges + Regulations by regulator
- Each of these can:
  - Be a source of conflict,
  - Create gaps between intent and outcome, and
  - Impact the credibility of the framework.
- The law as enacted needs to clearly define the bargain/incentives for the parties involved.

  *Any ambiguity or unresolved contradictions may create the context for gaming.*
- Those who enact the law and those who implement it are different.

  *The resolution process is too complex to be left unsupervised.*

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- Both regulator and adjudicator have oversight on the process.
- The law needs to ensure that there is no jurisdiction overlap between the two.

# The insolvency and bankruptcy regulator

- For the regulator, the law needs to address two groups of questions:
    1. On substantive content; and
    2. On regulatory governance

# Substantive content

- What are the objectives of the Regulator?

  *These need to be defined for both the legal entity and individual insolvency process.*

- What powers should it have to pursue these objectives?

  *Regulatory jurisdiction and infrastructure.*

How can regulatory accountability be achieved?

# Regulatory governance

- What is the governance arrangement in terms of the board and the management of the regulator?
- How will the legislative function of the regulator work?
- How will the executive function of the regulator work?
- How will the quasi-judicial function of the regulator work?
- What will be the framework for dealing with offenses and penalties?
- What will be the interaction between the Regulator and the Adjudicator in:
  - the insolvency resolution process?
  - appeals against orders of the regulator or appeals about regulation-making process?
- How will the regulator be financed?
- How will the regulatory accountability be ensured?

The IFC model of regulatory governance to be adopted.

# Objectives of the Regulator

- Enhance clarity, transparency and integrity of the insolvency resolution process.
- Define procedural details to strengthen the law:
  - Enable access to insolvency process.
  - Clarify the minimum standard of due process.
  - Minimise frivolous or malfeasant behaviour.
  - Minimise scope for disputes.
  - Maintain the timelines defined in the law.

# Functions

- Functions of the Regulator:
  - Make Regulations to define procedure.
  - Regulate insolvency intermediaries, including insolvency professionals (IPs) and information utilities (IUs).
  - Appoint IPs for cases where no private IP is available.
  - Maintain records of insolvency cases.
  - Enable evaluation of the law: research and advisory.

# Regulation of IPs

- The IP is in a unique position:
  - Paid by creditors
  - Take fees from the estate they are themselves managing.
  - Monitored by a creditors' committee, which my often be apathetic.
- Need for a closely regulated profession. But not in a manner that stifles its growth.
- In individual insolvency, consumer protection element also exists.

# Regulation of IPs

- Regulator needs to create:
  - Clear criteria on who can be a IP and an unbiased mechanism for licensing.
  - Standards and code of conduct.
  - Monitoring standards – an inspection program.
  - Investigation capabilities to deal with complaints against IPs.
  - Disciplining of IPs – offenses and penalties.
- Different countries follow different forms of regulation: by the government, by the court, self-regulated or a combination of these.

# Country examples: Australia

- Separate regulator for corporate and individual insolvency. ASIC for corporate and ITSA for individual.
- To practice, IPs need to apply to the regulator for a license.
- Licensing done basis qualifications, competence and track record of integrity.
- Both corporate and individual IPs bound by common law and statutory duties.
- The regulator monitor's IPs through regular audits. They can examine IPs office systems, standards of practice and even attend creditors' meetings.
- All complaints against IPs are sent to the regulator and investigated upon. Disciplinary action taken by the regulator.
- For imposing sanctions on IPs, the committee is called into action (CALDB).
- These can be appealed by the IPs in court.

# Country examples: UK

- Government monitored self-regulation. Insolvency service and 7 professional bodies.
- For consistent standards: MoU, principles for monitoring and the Joint Insolvency Committee.
- MoU – academic qualification (JIEB), ethical code and professional standards, complaint handling, exchange of information, retention of records, reporting.
- Monitoring principles – review of records, office audits.
- Joint Insolvency Committee – discussion on regulatory matters, statement of practice and ethics, guidance papers.

# Regulation of IUs

- Define IUs required for an insolvency process and their liability to disclose information in insolvency cases.
- License IUs.
- Define minimum standards for storage and retrieval.
- Run periodic sample studies to ensure correctness and completeness of information. Take remedial action if the gaps are material to the insolvency process.
- Specify statistical information that must be regularly released.
- Regulate interconnection to ensure inter-operability.
- Discipline IUs not complying with their insolvency obligations.

# Access to IPs

- Cases where no private IP may take the case. The regulator needs to appoint an IP.
- How will this be funded?
- Two options: regulator creates its own panel of IPs and bears the cost OR a system by which private IPs take a minimum number of such cases every year.

# Evaluation of law: research and advisory

- Regulator maintains records of all insolvencies.
- Need for a fact based evaluation of the insolvency framework.
- Regulator needs to undertake this function.
- Develop an open source system for maintaining insolvency records that can be used for research by the regulator and third parties.
- Regulator will develop advisory bodies that will use this research to evaluate and improve insolvency policy.

# Other functions: regulator or adjudicator?

- Enforcing personal liability of IPs.
- Director's disqualifications.
- Any other?

Thank you.

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